THE WALL STREET JOURNAL.

DOW JONES | News Corp * * * * * MONDAY, JULY 28, 2025 ~ VOL. CCLXXXVI NO. 23 WSJ.com ★★★★ $5.00

Last week: DJIA 44901.92 ▲ 559.73 1.26% NASDAQ 21108.32 ▲ 1.0% STOXX 600 549.95 ▲ 0.5% 10-YR. TREASURY ▲ 12/32, yield 4.385% OIL $65.16 ▼ $0.89 EURO $1.1743 YEN 147.67

What's News

Business & Finance

◆ **A record** 4.8% of workers in 401(k) plans took a hardship distribution for financial emergencies last year, up from a prepandemic average of about 2%, according to Vanguard Group. **A1**

◆ **Sky-high valuations** on the market's technology heavyweights have left investors in search of less-expensive alternatives. **B1**

◆ **The difficulty** of standing up a domestic rare earth industry backed by limited private capital has exposed a weak point in the White House's push to wean America off cheap Chinese supplies. **B1**

◆ **LVMH is in discussions** to sell fashion brand Marc Jacobs in a deal that could fetch around $1 billion, according to people familiar with the matter. **B3**

◆ **Citigroup is launching** a new premium credit card aimed at frequent travelers, the latest salvo in a war to win over affluent customers. **B3**

◆ **Traton said it was cutting** production at some of its operations in response to weak demand, as tariff uncertainty prompts North American customers to hold back new orders and hits the German truck and bus maker's results. **B3**

◆ **Boston Beer said** it now expected a more-moderate effect from proposed tariff rates as it logged higher profit and revenue in the second quarter. **B3**

◆ **Private-equity firms** that invest in power assets are pouring billions of dollars into natural-gas-fired plants as the renewable-energy sector faces headwinds. **B9**

World-Wide

◆ **Trump said he reached** a trade agreement with the EU, avoiding a damaging trade war with the U.S.'s largest trading partner and marking his biggest deal so far. **A1**

◆ **The Trump administration** has opened a new front in its widening battle with the judiciary, sparring with federal courts over his picks to lead U.S. attorney's offices. **A3**

◆ **A bipartisan pair** of congressmen pushing for the release of files related to Jeffrey Epstein say they will continue to press the issue when Congress returns from an extended summer break. **A4**

◆ **Americans view Trump's** tax-and-spending law as a win for wealthy households and large corporations that will hurt poor people and widen federal budget deficits, according to a new Wall Street Journal poll. **A4**

◆ **Israel announced** a tactical pause in military activity in parts of the Gaza Strip and the establishment of safe routes for humanitarian aid, as a deadly hunger crisis spreads across the enclave. **A8**

◆ **Thailand and Cambodia** said they were open to talks on a cease-fire in their deadly border clashes after Trump held calls with both countries' leaders. **A8**

◆ **At least 11 people** were stabbed Saturday in a Traverse City, Mich., Walmart. **A2**

◆ **A Illinois landlord** sentenced to decades in prison after he killed a Palestinian-American boy and wounded his mother has died. **A2**

◆ **Died: Tom Lehrer,** popular song satirist, 97. **A4**

CONTENTS

Pause in Fighting Clears Opening for Aid in Gaza

MOHAMMED SABER/EPA/SHUTTERSTOCK

CRUCIAL LOAD: Palestinians carry bags of flour near a food distribution point in the northern Gaza Strip on Sunday. Israel began a pause in military activity in parts of the Gaza Strip, allowing safe routes for humanitarian aid to relieve a hunger crisis. **A8**

Trump, EU Reach Accord For Trade Peace

Agreement imposes baseline tariff of 15% on exports to U.S., president says

By Kim Mackrael And Natalie Andrews

President Trump said he reached a trade agreement on Sunday with the European Union, avoiding a damaging trade war with the largest American trading partner and marking his biggest deal so far in his attempt to remake the global trading system through higher tariffs imposed by the U.S.

Trump said the U.S. would set a baseline tariff of 15% for European goods, including automobiles. He said the EU had agreed as part of the deal to buy $750 billion of energy products from the U.S., and invest an additional $600 billion in the U.S.

"I think it's going to be great for both parties," the U.S. president said following face-to-face talks Sunday with European Commission President Ursula von der Leyen in Trump's golf resort in Turnberry, Scotland.

The European deal is the most consequential agreement Trump has so far announced. The EU is America's biggest regional trading partner when the bloc's 27 member states—who share a common trade policy—are considered together and its top source of

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More Americans Tap 401(k)s For Financial Emergencies

By Anne Tergesen

Americans are putting more money than ever into 401(k)s. They are also pulling more out.

Last year, a record 4.8% of workers in 401(k) plans took a hardship distribution for financial emergencies, up from a prepandemic average of about 2%, according to Vanguard Group. And nearly one-third of people who leave jobs annually liquidate their 401(k)s, paying taxes and often penalties rather than keeping the money in a retirement account.

What's more, Congress has repeatedly made it easier to raid these accounts.

This adds up to a sea change in how Americans view their retirement savings: The $12.2 trillion in 401(k) accounts isn't necessarily locked away, earmarked only for retirement income. As people divert more of their savings to 401(k)s, the accounts are doing double duty as emergency funds.

This 401(k) "leakage" has become so common that people often post about it on social media. A woman who was on TikTok that she cashed out her 401(k) savings to pay off debt reported being happy with the decision, despite paying taxes and the 10% penalty people under 59½ typically owe.

Oliver Widger has told his millions of followers about how he cashed out his 401(k) after a diagnosis with a rare health condition. He posts videos around the world with his cat on the boat he purchased. Widger gave a television interview recently where he said "the only regret I have is not doing it sooner."

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◆ Investors flock to market's discount rack...... B1

A Fourth Triomphe In Paris

MOSAAB ELSHAMY/ASSOCIATED PRESS

Tadej Pogacar, the 26-year-old from Slovenia, at right in the yellow jersey, claimed his fourth Tour de France title on Sunday in such a dominant way that he is forcing organizers to rethink how they draw the route. **A14**

How to Extract $400 Million From a Billionaire

This financier used a famous name from the Gilded Age, but who was he?

By Margot Patrick

In spring 2021, Mexican billionaire Ricardo Salinas Pliego wanted to make a big bet on bitcoin.

To fund the purchases, he made plans to borrow $400 million from banks. As collateral, he would hand over more than $1 billion in stock he owned in a retailing group.

Three of the loans were from international banks he'd used before. The fourth lender was a newcomer but from one with a seemingly impeccable pedigree.

Or so Salinas Pliego thought.

On the recommendation of a Swiss adviser, Salinas Pliego connected with Astor Capital Fund, which was represented by a man named Gregory Mitchell and boasted ties to the illustrious Astor family.

German-born fur trader John Jacob Astor was America's richest man when he died in 1848. His family dominated Gilded Age society.

To discuss the deal, Salinas Pliego's team held a video call with a man who introduced himself as Thomas Astor Mellon, CEO of Astor Capital and a descendant of the famous family. He spoke with an American accent and joined the call from a yacht.

Later, after negotiating terms with Mitchell for a $115 million loan, backed by around $400 million worth of stock, Salinas Pliego signed an agreement stamped with Astor's seal of a regal lion.

It took three years for Salinas Pliego to realize that these Astors, and the loan agreement, weren't what they seemed. Before he knew it, his stock was liquidated, and Mellon and Mitchell were no-

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Investors Fill Void in Housing Market

By Rebecca Picciotto

Individual home buyers are largely locked out of the housing market as home prices continue to climb and interest rates remain stuck. But investors are buying, and dominating the market.

So far in 2025, investors who buy homes to flip or rent out have made up about 30% of purchases of both existing and newly built single-family homes, the highest share on record, according to property analytics firm Cotality, which started tracking the sales 14 years ago.

There is also a change in the makeup of single-family residential investors, who have become a powerful force in the U.S. housing market. This buying group was once flooded with large private-equity firms such as Blackstone and Starwood Capital Group.

But in the first half of this year, small investors made up about 25% of these home purchases, while large investors accounted for about 5% on average.

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Dry Weddings Risk Inciting Guests' Wrath

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Alcohol-free celebrations offer mocktails, coffee

By Chavie Lieber

Gracie Giambrone is finalizing details for her October wedding. One thing she's known since the start: The party won't have any booze.

"If it's a day about us, it makes no sense to get alcohol," said Giambrone, a 35-year-old marketing professional in Tampa, Fla.

Her fiancé, a Marine veteran, doesn't drink, and she does on rare occasions. So Giambrone plans to splurge on other costs,

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CEOs Recast Staff Cuts As a Positive in the AI Era

By Chip Cutter

Big companies are getting smaller—and their CEOs want everyone to know it.

The careful, coded corporate language executives once used in describing staff cuts is giving way to blunt boasts about ever-shrinking workforces. Gone are the days when trimming head count signaled retrenchment or trouble. Bosses are showing off to Wall Street that they are embracing artificial intelligence and serious about becoming lean.

After all, it is no easy feat to cut head count for 20 consecutive quarters, an accomplishment Wells Fargo's chief executive officer touted this month. The bank is using attrition "as our friend," Charlie Scharf said on the bank's quarterly earnings call as he told investors that its head count had fallen every quarter over the past five years—by a total of 23% over the period.

Loomis, the Swedish cash-handling company, said it is managing to grow while reducing the number of employees, while Union Pacific, the rail operator, said its labor productivity had reached a record quarterly high as its staff size shrank by 3%. Last week, Verizon's CEO told investors that the company had been "very, very good" on head count.

Translation? "It's going down all the time," Verizon's Hans Vestberg said.

The shift reflects a cooling labor market, in which bosses

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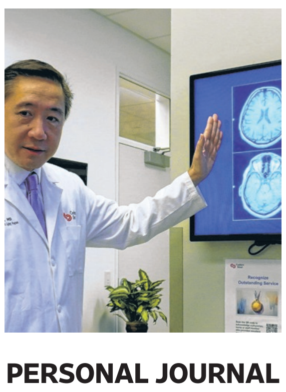
INSIDE

MIKAYLA WHITMORE FOR WSJ

U.S. NEWS

Las Vegas's struggles hurt the workers that 'no tax on tips' is supposed to help. **A3**



PERSONAL JOURNAL

A doctor answers questions on how to prevent cognitive decline as we age. **A12**